



“Before Covid-19, it (edtech) was a small ecosystem. The pandemic accelerated the Indian edtech sector... players started hiring aggressively, giving great salaries”

VIDUR GUPTA
CO-FOUNDER, SPECTRUM
TALENT MANAGEMENT



“Our teachers receive competitive salaries, ESOPs, social security benefits and insurance. Thanks to the advancements in edtech, teachers can now reach a wider audience [and] make a greater impact”

SATISH KHENGRE
HEAD, HUMAN RESOURCES,
PHYSICS WALLAH

“Players started hiring aggressively, giving great compensations, and also focussed on tech and content development,” says Gupta.

Like Arora, many teachers become millionaires with the sudden surge in demand. English, Mathematics and Science teachers are the most in demand, according to experts; teachers who assist students in getting ready for competitive exams like JEE Mains, NEET, UPSC, and CAT also command higher salaries. To learn more about the pay structures, *BT* reached out to a few edtech companies. Only Noida-based Physics Wallah responded by giving insights into their methodology for hiring.

“As a leading edtech company, we recognise the vital role that teachers play in delivering effective education and learning outcomes. To ensure the quality of our teaching, we implement a rigorous selection process that adheres to high standards,” says Satish Khengre, Head of HR at Physics Wallah. He explains that

while selecting teachers, the edtech takes into account several factors, including student feedback, a demo of effective teaching methodologies, written exams to understand the depth of knowledge and interviews with subject matter experts.

To attract talent, the most popular enticement seems to be offering a fixed salary along with employee stock ownership plans (ESOPs). Edtech “companies are putting a lot of emphasis on ESOPs” to attract talent, says Gupta. “Companies that have raised various rounds of funding... their ESOPs become a lot more attractive.”

Companies have also been paying out salaries by adding a “sales component” to the variable portion of teachers’ remunerations. “Edtech companies tell their teachers to use sales coupons in their names. These coupons help students get discounts on courses and the number of such coupons sold by the teacher is counted as the sales generated by them,” informs an industry source.

“Our teachers receive numerous benefits, including competitive salaries, stock options, social security benefits, and life & medical insurance. Thanks to the advancements in edtech, teachers can now reach a wider audience, make a greater impact and become recognised and appreciated by students from all over,” says Khengre of Physics Wallah.

There is also a concept of ‘star teachers’ within edtechs, say sources. These are teachers who are followed by a huge number of students on social media and significant years of experience. According to the industry sources, the top 20 ‘star teachers’ of edtech companies were paid an annual remuneration of ₹3-4 crore during the pandemic. The coupon component works mostly with the star teachers.

The Real Test

Just when the edtech industry was riding high on success, it hit a bump as schools and offline institutes resumed operations with Covid-19 infections ebbing. “During the pandemic, edtech companies doubled down on their efforts to increase their online presence but now a hybrid way of learning was the new normal. And since they became so focussed on serviceability, the players have become extremely competitive,” says the source.

With competition growing, edtechs have resorted to poaching star teachers in order to maintain the edge over their peers. Over the past few months, multiple reports have suggested that edtech players are offering unheard of packages to the star teachers to grab a pie of their student base. “I got calls from two to three rival companies